

Multiple Choice (10 marks)

1. Marginal cost always intersects average variable cost at
 - (a) the minimum of average total cost
 - (b) the point where average variable cost is equal to marginal cost
 - (c) the profit-maximizing quantity
 - (d) the maximum of average variable cost
 - (e) the point of equilibrium between supply and demand
2. According to Say's law
 - (a) when price goes up supply goes up
 - (b) price and supply have no correlation
 - (c) when supply goes up, demand goes down
 - (d) demand creates its own supply
 - (e) when demand goes up, supply goes down
3. Economy X is an open economy with flexible exchange rates. Economy Y is closed. Ceteris paribus expansionary monetary policy is
 - (a) more effective in X because the policy will increase net exports.
 - (b) more effective in X because the policy will decrease net exports.
 - (c) equally effective in X and Y.
 - (d) less effective in X because the policy will decrease net exports.
4. When disposable income increases by \$X
 - (a) saving remains constant.
 - (b) consumption decreases by more than \$X.
 - (c) saving increases by exactly \$X .
 - (d) saving increases by less than \$X .
 - (e) consumption decreases by less than \$X.
5. What are some reasons why there has been a relative shift from farming?
 - (a) The invention of automated systems that have made traditional farming obsolete
 - (b) Emergence of widespread diseases that make farming untenable
 - (c) Shift in consumer preferences towards synthetic foods
 - (d) A global decrease in the demand for agricultural products
 - (e) People seek the higher incomes of the city, shorter hours, and better social life in town

True / False (10 marks)

Answer True or False

6. True or False: The bill rate for a bill with 91 days to maturity and a price of \$97,987 is 8.50%, and the coupon issue yield is 8.24%.
7. True or False: Inflation typically leads to a decrease in real incomes for most individuals in the economy.
8. True or False: A white noise process has constant variance and autocovariances that are zero except at lag zero.
9. True or False: A negative or contractionary supply shock will shift the Phillips curve to the right, indicating higher inflation and unemployment.
10. True or False: The Federal Reserve includes changing the reserve ratio as one of its monetary policy tools.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Analyze Adam Smith's concept of the division of labor, discussing its implications for productivity, specialization, and overall economic efficiency in his work.
12. Discuss the implications of a scenario where real GNP doubles while the money supply increases by 80% and velocity remains constant. What effect does this have on the price level?

End of Paper